EXECUTIVE SUMMARY

I. Introduction

Formerly known as Cabug, the Municipality of Enrile traces its beginnings to its early days as a barrio of Tuguegarao before becoming an independent town in September 1841. It was named in honor of Governor Pascual Enrile, whose leadership played a key role in developing critical road networks across Northern Luzon. From its historical roots, Enrile has steadily evolved into a productive agricultural municipality, known for its cultivation of rice, corn, tobacco, peanuts, and sugarcane. This agricultural strength earned Enrile national recognition in 2015 as the Peanut Capital of the Philippines.

The audit covered the accounts and operations of the Municipality for the year 2025 and was aimed at determining whether management presented fairly its financial statements in adherence with generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, reviewed and analyzed financial statements and related accounting records, reviewed the implementation of programs and projects and performed other audit procedures as deemed necessary.

II. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2025.

The objective of the audit is to determine whether the resources of the Municipality have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the Municipality.

III. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase/ (Decrease)
Financial Condition:			
Assets	₱548,906,709.26	₱475,408,223.49	₱73,498,485.77
Liabilities	124,917,361.47	84,126,474.86	40,790,886.61
Government Equity	423,989,347.78	391,281,748.63	32,707,599.15
Results of Operation:			
Income	320,926,560.17	272,011,996.86	48,914,563.31
Expense	288,104,449.64	256,322,104.51	31,782,345.13
Net Income	32,822,110.53	15,689,892.35	17,132,218.18
Appropriations, Allotments and Obligations:			
Appropriations – Current	253,067,495.70	231,322,868.52	21,744,627.18
Allotments – Current	253,067,495.70	231,322,868.52	21,744,627.18
Allotments – Continuing	10,618,856.43	13,870,515.06	(3,251,658.63)
Obligations – Current	221,331,929.93	215,948,826.39	5,383,103.54
Obligations – Continuing	9,281,681.57	11,618,506.24	(2,336,824.67)

IV. Operational Highlights

Among the reported accomplishments of the Municipality in CY 2025 is the completion of the following major program, projects and activities (PPAs), among others, funded from various sources:

Project/Program/Agency Name	Location	Total Cost Incurred to date
Updating of Development Plans (CLUP/FLUP/CDP)	LGU Enrile	₱3,920,000.00
Local Access Roads (FMR)	Barangay Divisoria	4,997,868.75
Concreting of Pavement between Motorpool and Warehouse	Municipal Government Center, Barangay II	1,296,736.20
Improvement of Municipal Hall Building: Completion of Mayor's Conference Hall	Municipal Government Center, Barangay II	1,747,323.60
Installation of LED Solar Streetlights	Roma Norte-Batu Road	5,746,872.90
Supply and Delivery of Assessor's Office Supplies and IT Equipment	LGU Enrile	547,900.00
Rehabilitation of Roads Damaged by Typhoons Kristine, Leon, Marce, Nika, Ofel and Pepito	Municipal wide	992,734.57
Rehabilitation of Public Market Roof	Municipal Government Center, Barangay San Jose	928,402.69

Project/Program/Agency Name	Location	Total Cost Incurred to date
Maintenance of Barangay, Municipal and FM Roads	Various Barangays	1,223,762.56
Installation of LED Solar Streetlights	Liwan Sur-Liwan Norte Road at Liwan Norte	2,258,758.86
Improvement/Upgrading of Municipal Waterworks System (Construction of Level III Water System)	Sitio Cannagan, Barangay Divisoria	5,339,544.00
Supply and Delivery of Various MWSE Materials	MGO	1,210,850.00
Construction of Peanut Processing Facility	Municipal Government Center, Barangay San Jose	1,222,942.82
Supply and Delivery of Office and Janitorial Supplies	MGO	601,325.00
Assistance to Priority Projects of the Barangays:		
a. Supply and Installation of CCTV Network Camera	Magalalag West	199,600.00
b. Construction of Perimeter Fence	Roma Norte	198,022.00
c. Relation of Water Tank	San Antonio	50,000.00
d. Installation of LED Solar Streetlights	Barangay II	143,950.00
e. Fabrication of Collapsible Tent	18 Barangays except San Antonio, Magalalg West, Roma Norte, Barangay IV	895,000.00
f. Supply and Delivery of Fiber Glass Boat	Barangay IV	
g. Construction of Drainage Canal	San Roque	448,925.57
Supply and Delivery of Medicines and Medical Supplies	MGO-Enrile	835,320.00
Supply and Delivery of Agri-Supplies and Materials for Agri-Livelihood Program : Lot1-Supply and Delivery of Bottom Set Gill Net For Inland Water Fishing; Lot2-Supply and Delivery of Macrofertilizer for Peanut Production	MGO-Enrile	2,605,480.00
Assistance to Priority Projects of		

Project/Program/Agency Name	Location	Total Cost Incurred to date
the Schools both ES & HS		
a. School Signage	San Antonio ES	49,000.00
b. Delivery of Sound System with Lights & Monoblock Chairs	Magalalag NHS	198,000.00
c. Painting Materials	OLOSA	48,648.00
d. Construction of Bleacher	Sabino Acorda ES	181,000.00
e. Repair of Classroom Roofing	Liwan Norte ES	49,035.00
f. Fabrication of Classroom Window Grills	Roma Norte ES	36,323.00
g. Supply chairs for kindergarten	Roma Norte	11,100.00
h. Construction of Genderized CR	Lemu National High School	298,942.29
h. Construction of Genderized CR	Alibago E/S	297,863.08
i. Construction Bleachers (EVHS)	EVHS	433,862.52
j. Repair of School Stage	ENCS	298,851.43
k. Rehabilitation of Flagpole Pedestal and Stage	WEVS	49,987.50
l. Purchase of Arm Chair	Sabino Acorda ES	
m. Purchase of Arm Chair	Inga E/S	49,600.00
n. Purchase of Arm Chair	Liwan Sur E/S	49,600.00
o. Purchase of Arm Chair	Don Paulino E/S	49,600.00
Renovation of Ground Floor Comfort Room and Replacement of Tiles (Ground Floor, Lobby, Stairs and Ramp)	Municipal Government Center, Barangay II	1,914,986.29
Supply and Delivery of Hydraulic Rescue Extrication Equipment	MGO-Enrile	2,495,000.00
Improvement/Upgrading of Municipal Waterworks System (Construction of Level III Water System)	Municipal Government Center, Barangay II	5,099,073.20
Supply and Delivery of Packed Rice for Distribution to all Households Around the Municipality	Enrile, Cagayan	2,632,500.00
Supply and Delivery of Packed Goods	Enrile, Cagayan	6,070,005.00
TOTAL		**₱57,724,296.83**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered an *Unmodified Opinion* on the presentation of the financial statements of the Municipality as of December 31, 2025.

VI. Summary of Significant Findings and Recommendations

1. **The deficiencies in the submitted documentation for the distribution of welfare goods amounting to ₱18.228 million to households across the Municipality in CY 2025, charged against the General Fund and the Local Disaster Risk Reduction and Management Fund, underscore significant gaps in project implementation and internal controls, and raise concerns on the completeness and reliability of the reported distributions, contrary to Sections 2 and 4(6) of Presidential Decree No. 1445.**

   We recommended that the Management adopt, on a prospective basis, standardized distribution forms wherein essential details, such as recipient names and the specific welfare goods distributed, are pre-printed or systematically encoded, to strengthen internal controls and ensure the completeness and reliability of distribution records.

2. **The immoderate disbursements for supplies, meals and accommodation, and various maintenance and other operating expenses through cash advances and reimbursements by the Municipal Treasurer, totaling ₱8.054 million, which are contrary to Section 93 of P.D. No. 1445, raise fiscal control issues that consequently compromise competitive procurement processes and the proper withholding of corresponding taxes amounting to approximately ₱0.229 million, pursuant to BIR Revenue Memorandum Order No. 23-2014.**

   We recommended that the Management, through the concerned offices, minimize, if not totally avoid, the procurement of goods and services through cash advances and reimbursements, and instead ensure that all requirements for municipal activities are timely identified, properly consolidated, and incorporated in the Annual Procurement Plan, to allow sufficient lead time for the adoption of appropriate procurement modalities and ensuring that payments are made directly to duly registered suppliers, consistent with Section 93 of P.D. No. 1445.

   Moreover, we recommended that the Municipal Accounting Office and the Municipal Treasury Office, in coordination with other concerned officials, strictly comply with the provisions of BIR RMO No. 23-2014 by ensuring the proper withholding and remittance of applicable taxes on all purchases of goods and services, thereby avoiding the imposition of surcharges and penalties, and supporting the government's revenue generation efforts.

3. **As of December 31, 2025, the Municipality recorded an overall increase in delayed remittances of mandatory deductions and contributions arising from**

government obligations and disbursements, amounting to ₱1.088 million, or 52.99 percent higher than CY 2024, thereby exposing the Municipality to potential penalties, interest charges, and compliance risks, and indicating the need to enhance the management of its statutory obligations, in accordance with Section 69 of P.D. No. 1445 and other applicable laws, rules, and regulations.

We recommended that the Management, through the Offices concerned, ensure strict compliance with the withholding and remittance of taxes, mandatory government deductions and contributions by:

A. Promptly remitting intact all withheld funds and contributions during the month to the appropriate government agencies by the ensuing month, in faithful compliance with Section 69 of P.D. No. 1445 and other applicable laws, rules, and regulations; and

B. Strengthening controls over the withholding and remittance process by conducting regular reconciliations, promptly recording necessary adjustments to reflect accurate balances, and addressing discrepancies as they arise.

4. **The Municipality substantially utilized ₱39.190 million, equivalent to 73.68 percent of the total available 20% Development Fund appropriations of ₱53.188 million in CY 2025, which facilitated the full implementation of 51 programs, projects, and activities amounting to ₱33.105 million and the partial implementation of 17 PPAs, with cumulative obligations of ₱6.085 million, in accordance with DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020, and DILG-DBM JMC No. 2017-1 dated February 22, 2017, thereby contributing to the attainment of the Municipality's intended socio-economic and environmental development outcomes.**

   We recommended that the Management sustain its effort in ensuring that the PPAs for each budget year, funded out of the 20% DF, are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects to fully achieve the desired socio-economic targets and outcomes of the Municipality pursuant to DBM-DOF-DILG JMC No. 1 dated November 4, 2020 and Section 5.0 of DILG-DBM JMC No. 2017-1 dated February 22, 2017.

   We further recommended that the Management closely monitor and prioritize the implementation of all ongoing PPAs, and maintain and regularly update accurate status reports to ensure that project timelines proceed as scheduled and support informed management decisions and reliable progress reporting.

5. **The Municipality substantially utilized ₱20.555 million, or 73.79 percent of the total available 5% Local Disaster Risk Reduction and Management Fund**

of ₱27.856 million in CY 2025, demonstrating a generally active implementation of PPAs, thereby advancing its objectives of mitigating disaster risks and enhancing disaster preparedness and response capacities in compliance with Section 21 of R.A. No. 10121.

However, a significant portion of the fund, amounting to at least ₱4.087 million, sourced from savings from continuing LDRRMF and the transfer of unspent LDRRMF from the previous year to the Special Trust Fund, remained unutilized and has yet to be programmed for specific PPA/s, pursuant to Items 6.4 to 6.5 of NDRRMF-DBM-DILG JMC No. 2013-1 dated March 25, 2013.

We recommended that the Management sustain its effort in ensuring that the PPAs funded out of the 5% LDRRMF for each budget year are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects to achieve the Municipality's objectives of mitigating disaster risks and enhancing disaster preparedness and response capacities, in compliance with Section 21 of R.A. No. 10121.

We further recommended that the Management ensure the proper utilization of the remaining 5% LDRRMF, particularly the unprogrammed ₱4.087 million in savings, by prioritizing its programming and allocation to specific, time-bound, and high-impact PPAs that are consistent with the Municipality's Local Disaster Risk Reduction and Management Plan, pursuant to Items 6.4 to 6.5 of NDRRMF-DBM-DILG JMC No. 2013-1 dated March 25, 2013.

VII. Summary of Total Suspensions, Disallowances and Charges

The total unsettled audit suspensions, disallowances, and charges of the Municipality, as reflected in the Status of Audit Suspensions, Disallowances, and Charges for the quarter ending December 31, 2025, are as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱13,769,613.19	-	-	₱13,769,613.19	0.00%
Current Year	-	-	-	-	0.00%
Total	₱13,769,613.19	-	-	₱13,769,613.19	0.00%
Disallowances					
Prior Years	₱12,366,455.04	-	-	₱12,366,455.04	0.00%
Current Year	-	-	-	-	0.00%
Total	₱12,366,455.04	-	-	₱12,366,455.04	0.00%
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%
Grand total	₱26,136,068.23	-	-	₱26,136,068.23	0.00%

VIII. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Implemented	21	61.76
Not implemented	5	14.71
Not implemented and reiterated in CY 2025 AAR	8	23.53
Total	**34**	**100.00**